complete reimbursement of the excise duty paid on the components and raw materials.'

The MODVAT scheme was applied on all goods covered by thirty-seven specified chapters of the Central Excise Tariff Act, 1985. The scheme allowed all the final products covered by the specified twenty-seven chapters credit for the inputs used in manufacture thereof, which are also covered by the same thirty-seven chapters.

With this, the journey of the value-added taxation system in the country began, which was finally completed with the introduction of GST in 2017.

VAT Replaces State Sales Taxes

The Government of India, after gradually extending the value-added concept to most excises and also rationalizing the VAT structure of excise duties, took the initiative to introduce it to state sales taxes. To ensure fuller involvement of the states, an Empowered Committee of State Finance Ministers was set up in July 2000, which, among other terms of reference, intended 'to decide milestones and methods of States to switch over to VAT'.

The committee, after considerable deliberations, agreed on the draft of a model state VAT law. States started enacting their VAT laws from 2003, when Haryana became the first state to enact the law, though very few had actually done so by the time the new UPA government took over at the Centre in May 2004.

The new government pushed the introduction of VAT laws and offered to compensate the states if they suffered loss in the growth of state sales tax/VAT revenues.

To quote from the Budget speech of 2004–05:

'Value-added tax is a tax that has been tested and tried, and found beneficial throughout the world. The country needs a modern and efficient trade tax system that incorporates the international best practices. At the 18